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FREE GUIDE

The Income ETF Starter Guide

Seven things to understand before you buy your first income ETF, so the monthly payouts help you instead of surprising you.

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Financial education only, not investment, tax or legal advice.

THE SEVEN THINGS

Before you buy

Income ETFs, also called covered-call ETFs, can pay 10–30% a year in monthly cash. Here is what sits behind that number.

1

Know what you own

A covered-call ETF holds shares, then sells call options on them. The option premiums fund the big payouts. In return, the fund gives up some of the upside when markets rise quickly.

2

Yield is not return

A 25% yield does not mean you made 25%. Look at **total return**: the change in the unit price plus the payouts. If a fund pays more than it earns, its price drifts down over time.

3

Return of capital is a tax deferral

Much of the payout is often return of capital: not taxed when received, but it lowers your cost base. Tax arrives later, as a capital gain, of which only half is taxable. Keep every T3 slip.

4

Leverage cuts both ways

Many income ETFs borrow a little, often about 25%, to lift the payout. That magnifies gains and losses. In a 20% market fall, a 1.25× fund can fall about 25%.

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Before you buy

5 Choose the account first

In a TFSA, payouts and growth are tax-free and don’t count as income. In a non-registered account, track your cost base. Know your contribution room before you buy.

6 Payouts can change

Funds set their distributions month by month and can cut them. Plan your spending on a lower number than today’s, and keep a cash cushion so you never have to sell in a bad month.

7 Foundations come first

Clear high-interest debt and build a cushion before you invest. Paying off a 21% credit card is a guaranteed 21% return; no fund promises that.

Your quarterly check: once a quarter, compare each fund’s total return over the past year with what it paid out. A fund that keeps paying more than it earns is shrinking your capital.

Melius One Consulting provides general financial education only. It is not investment, tax or legal advice, and it is not a recommendation to buy or sell any security. Investing involves risk, including the loss of money. Yields and payouts change; read each fund’s own documents. Want help applying this to your own accounts? Book a free intro session at meliusoneconsulting.com.